

ACT TWO ANALYSIS

Generative AI's Act Two:

From Technology Hammer to Real Value

A data-driven analysis of generative AI's transition from novelty demos to end-to-end solutions — and what it means for builders and investors.

Six Decades of Technological Progress Converged to Enable Generative AI

6 DECADES

Moore's Law

Six decades of compute progress delivered the exaflop-scale horsepower needed to train and run foundation models.



4 DECADES

Internet & Data

Four decades of internet growth — accelerated by COVID — produced trillions of tokens of high-quality training data.



2 DECADES

Mobile & Cloud

Two decades of mobile and cloud computing put a supercomputer in every human's palm, enabling mass distribution.

RESULT: ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

Revenue from GenAI startups alone
in months — not years

SaaS took years to reach this milestone.

GROWTH

ChatGPT

Fastest-growing application
in history.
Strong PMF among students
and developers.

REVENUE

Midjourney

Hundreds of millions in
revenue.
Team of just 11 people.

ENGAGEMENT

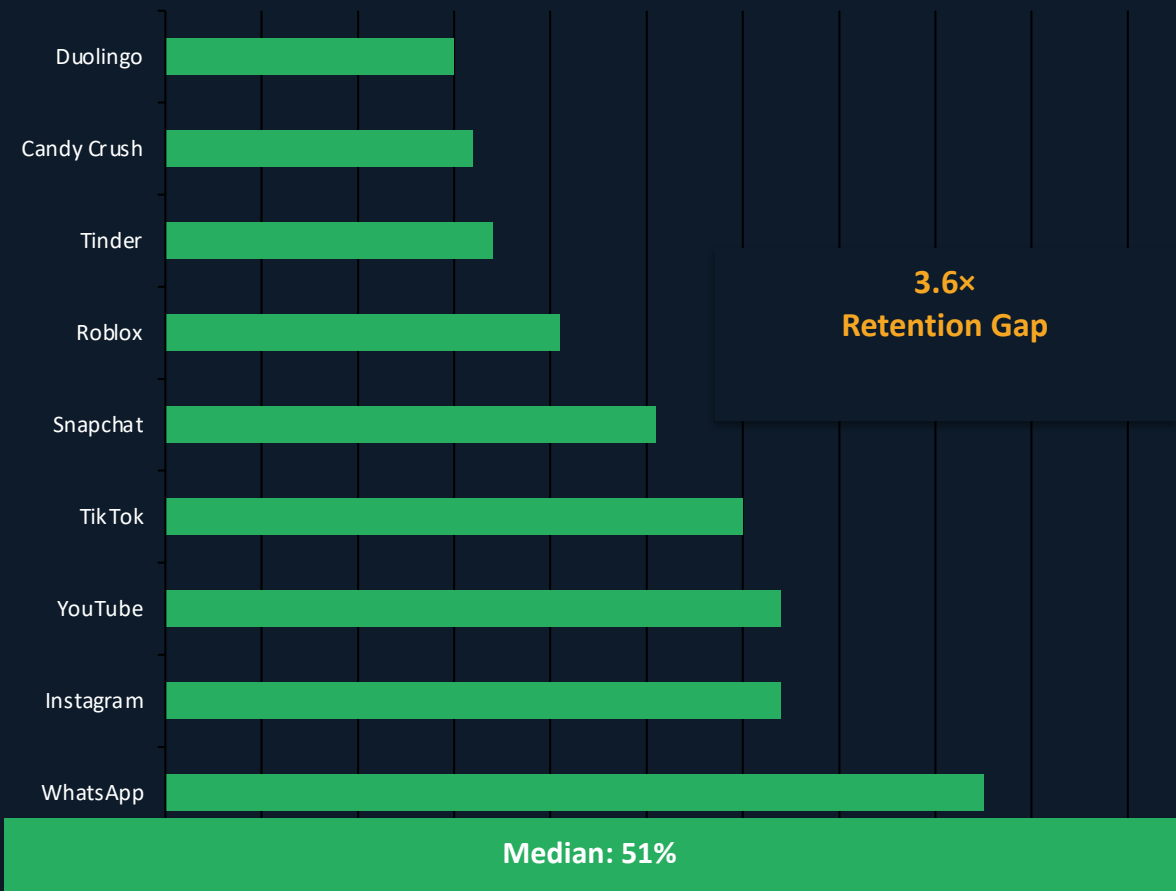
Character.ai

Popularized AI
companionship.
2 hours average session
time in-app.

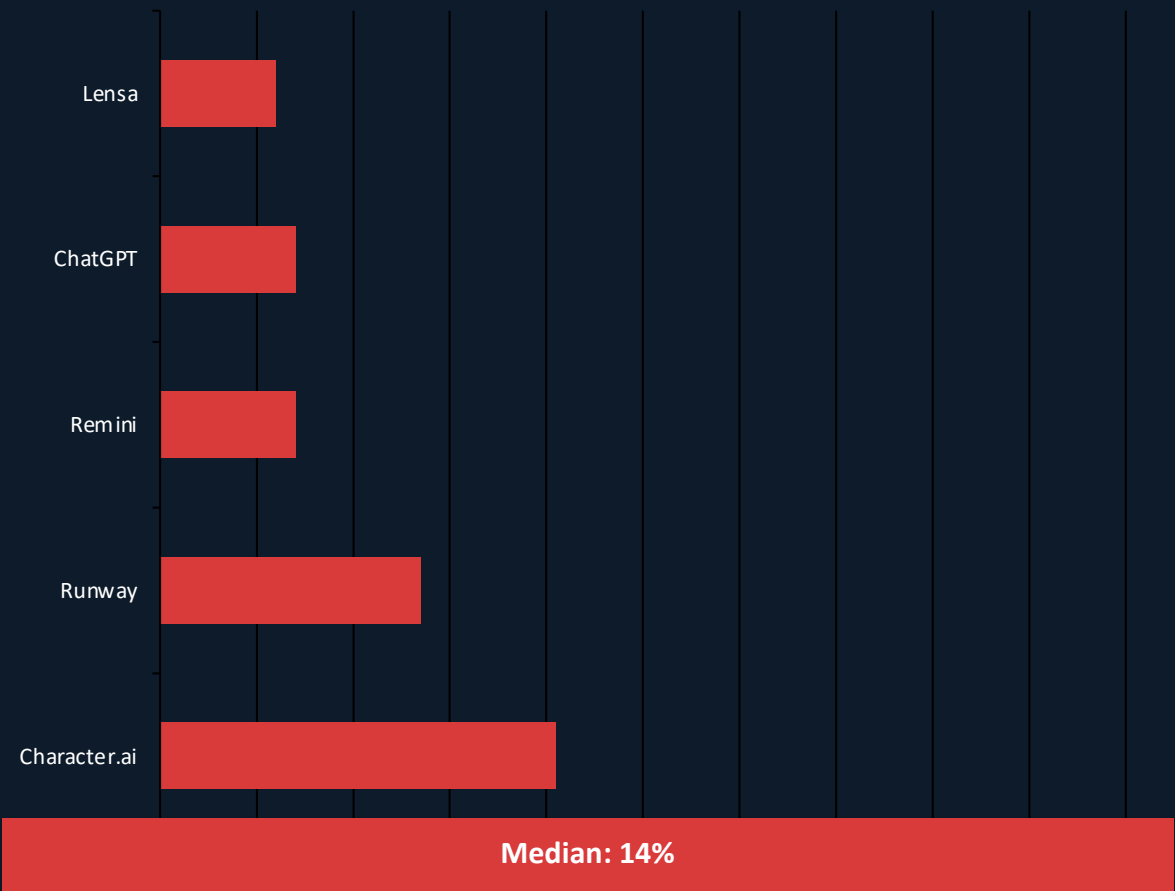
Note: Strong early revenue does not eliminate the PMF and retention challenges facing many AI companies.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

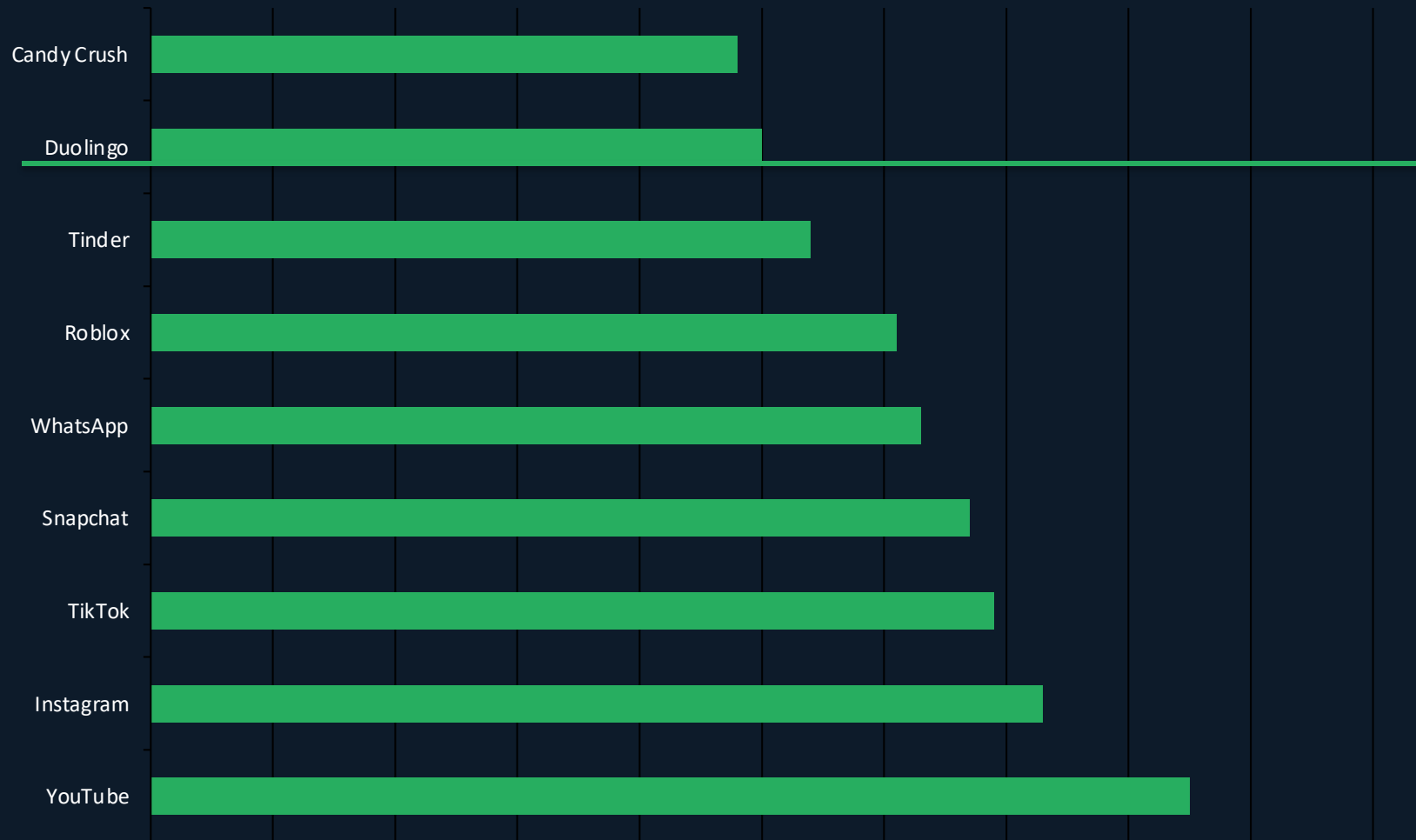
Incumbents



AI-First Companies



YouTube Leads Incumbents at 85% Monthly Active Usage



Median Monthly Active Usage: 63%

The High Bar AI Must Clear

- Incumbents maintain 63% median monthly active usage — a deeply embedded habit loop.
- AI-first apps at 14% retention face a structural engagement deficit.
- Character.ai at 41% retention is the notable outlier, driven by 2-hr average session times.
- Companionship & entertainment may be generative AI's strongest consumer use case.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1

Technology-Out

(Discovery Phase)

- Foundation models used as the entire solution
- Novelty apps & lightweight tech demos
- Thin wrappers with poor retention
- "AI Salesforce", "AI Adobe" templates
- Product falls short of expectations
- Model modality as the organizing principle

VS

ACT 2

Customer-Back

(Emerging Phase)

- Foundation models as a piece of a broader solution
- New editing interfaces that add stickiness
- Multi-modal, end-to-end problem solving
- Organized by use case, not model modality
- Solves real human problems comprehensively
- Sustainable competitive advantage & retention

Act 2 Exemplars: Harvey (custom LLMs for law) · Glean (enterprise workspace AI) · Character (digital companions) · Ava (digital companions)

Market Map Reorganized by Use Case, Not Model Modality

BEFORE — Act 1

Organized by Model Modality

Text / Language

Image Generation

Code & Copilots

Audio / Video

Technology-driven taxonomy:

'What can the model do?'



AFTER — Act 2

Organized by Use Case

Legal AI (e.g. Harvey)

Enterprise Search (e.g. Glean)

Companionship (e.g. Character, Ava)

Creative Tools (multi-modal)

Customer-driven taxonomy:

'What human problem does it solve?'

The reorganization from modality to use case mirrors the broader Act 1 → Act 2 shift: from technology hammer to end-to-end value delivery.

Key Takeaways: What Separates Winners in Act Two

01

Retention Is the Critical Challenge

AI-first apps at 14% median retention face a 3.6× gap versus incumbents at 51%. Closing this gap is the defining challenge of Act 2.

02

Foundation Models Are a Component, Not the Product

Winning companies use models as one piece of a comprehensive, workflow-integrated solution — not as a thin wrapper or the entire value proposition.

03

Multi-Modal, End-to-End Solutions Will Win

Act 2 companies introduce new editing interfaces and solve human problems end-to-end. The increasingly multi-modal nature of applications is a hallmark of durable products.

04

>\$1B Revenue Proves Real Demand Exists

GenAI startups exceeded \$1B in revenue faster than SaaS ever did — proving commercial demand is real despite hype-cycle skepticism and retention headwinds.

05

Companies Solving End-to-End Human Problems Will Define Act 2

Harvey (legal), Glean (enterprise search), Character and Ava (companionship) exemplify the shift from novelty demo to genuine, sticky value creation.